(309 & 310)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CA/(CAA)/22(CHE)2021
CA/(CAA)/39(CHE)2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Of

M/s. SRICHERAN SYNTHETICS INDIA PRIVATE LIMITED
CIN: U17111TZ2005PTC011749
Reg. Off:-
No.24, Sankari Bye Pass Road,
Pallipalayam, Erode – 638 006

... Applicant / Transferor Company

And

M/s. PALLAVA TEXTILES PRIVATE LIMITED
CIN: U17111TZ19955PTC005909
Reg. Off:-
27C, Sankari Bye Pass Road,
Pallipalayam, Erode – 638 006

... Applicant / Transferee Company

Order Pronounced on 22nd September 2021

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s): Pawan Jhabak, Advocate

COMMON ORDER

Per: **R. SUCHARITHA, MEMBER (JUDICIAL)**

This is an application filed by the Applicant Company, namely M/s. **SRICHERAN SYNTHETICS INDIA PRIVATE LIMITED** (for brevity "Transferor Company") with M/s. **PALLAVA TEXTILES PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the M/s. Sri Cheran Synthetics India Private Limited (for brevity "Transferor Company") with M/s. Pallava Textiles Private Limited (for brevity "Transferee Company"). The said Scheme is also annexed as "Annexure A3" to the CA/(CAA)/22(CHE) 2021.

2. The Applicant Companies in this Company Application has sought the following reliefs:

(a) Dispense with the Meeting of Equity Shareholders of the Transferor and Transferee companies;

(b) Dispensing with the Meeting of Secured Creditors of the Transferor and Transferee companies;

(c) Dispensing the Meeting of Unsecured Creditors of the Transferor Company

(d) Necessary Directions for conducting the meeting of Unsecured Creditors of the Transferee company;

3. An affidavit in support of the above application is sworn for and behalf of the Transferee Company by one Mr. V.S. Palanisamy in the capacity as Director of the Transferee Company and by one Mr. P. Duraisamy, in the capacity as the Director of the Transferor Company along with the application and it is also represented that the Registered office of the Applicant Company is situated within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Coimbatore.

4. **SRI CHERAN SYNTHETICS INDIA PRIVATE LIMITED (TRANSFEROR COMPANY)**

(i) There are 16 (Sixteen) Equity Shareholders and the certificate issued by the Chartered Accountants to this effect is placed at page 98 to 101 of the typed set filed with the application and also the consent by way of Affidavits given by all the Equity Shareholders are placed at page 102 to 133 and sought dispensation with holding of meeting.

(ii) There is 1 (One) Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page 134 of the typed set filed with the application and also the consent by way of Affidavit given by the sole Secured Creditor is placed at page 135 to 136 and sought dispensation with holding of meeting.

(iii) There are 354 (Three Hundred and Fifty Four Only) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page 137 to 145of the typed set filed with the application and also the consent by way of Affidavits given by 7 Unsecured Creditors being 91.9% of the total value of credit are placed at page 146 to 163 and sought dispensation with holding of the meeting.

5. **PALLAVA TEXTILES PRIVATE LIMITED (TRANSFEREE COMPANY)**

(i) There are 12 (Twelve) Equity Shareholders and the certificate issued by the Chartered Accountants to this effect is placed at page 94 to 95 of the typed set filed with the application and also the consent by way of Affidavits given by all the Equity Shareholders are placed at page 96 to 119 and sought for dispensation with holding of the meeting.

(ii) There is 1 (One) Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page 120 of the typed set filed with the application and also the consent by way of Affidavit given by the sole Secured Creditor is placed at page 121 to 122 and sought for dispensation with holding of meeting.

(iii) There are 260 (Two Hundred and Sixty Only) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page 123 to 129 of the typed set filed with the application seeks necessary directions for conducting the meeting of Unsecured

Creditors of the Transferee company to obtain their approvals for the Scheme of Amalgamation.

6. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated between the Applicant companies.

7. From the certificate of incorporation filed, it is evident that Transferor Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 21.04.2005. The Authorized Share Capital of the Transferor Company is ₹40,30,00,000/- (Rupees Forty Crore Thirty Lakh Only) consisting of 40,30,000 Equity Shares of Rs.100/- each. The Issued, Subscribed and Paid-up Capital of the Transferor Company is Rs. ₹17,86,84,300/- (Rupees Seventeen Crore Eighty Six Lakh Eighty Four Thousand Three Hundred only) consisting of 17,86,843Equity Shares of Rs.100/- each.

8. From the certificate of incorporation filed, it is evident that Transferee Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 10.03.1995. The Authorized Share Capital of the Transferee Company is ₹15,00,00,000/- (Rupees Fifteen Crore Only) consisting of 15,00,000 Equity Shares of Rs.100/- each. The Issued, Subscribed and Paid-up Capital of the Transferee Company is Rs.

₹14,68,75,100 (Rupees Fourteen Crore Sixty Eight Lakh Seventy Five Thousand One Hundred Only) consisting of 14,68,751 Equity Shares of Rs.100/- each.

9. The Applicant Company has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2020 and Unaudited Financial Statements upto 30.09.2020.

10. The Board of Directors of the Applicant Company vide meeting held on 29th October 2020 has unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the Transferor company.

11. The Appointed date as specified in the Scheme is 1st April 2020.

12. The Statutory Auditor of the Transferor Company examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Certificate of the Statutory Auditors

issued in this regard is placed at page 174 of the typed set filed along with the Application.

13. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

A) IN RELATION TO THE TRANSFEROR COMPANY:

(i) **With respect to Equity Shareholders:**

Since it is represented by the Transferor Company that there are 16 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, for approval of the scheme is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company that there is 1 Secured Creditor in the Company whose consent by way of Affidavit has been obtained and is placed on record, the necessity of convening and holding a meeting to consider and if thought fit, for approval of the scheme is *dispensed with*

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferor Company is directed to be held on **13.11.2021 at 11:00 AM** at the Registered office address of the Transferor Company or through video conferencing or if not convenient at any other

suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

B) IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to Equity Shareholders:**

Since it is represented by the Transferee Company that there are 12 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, for approval of the scheme is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferee Company that there is 1 Secured Creditor in the Company whose consent by way of Affidavits has been obtained and is placed on record, the necessity of convening and holding a meeting to consider and if thought fit, for approval of the scheme is *dispensed with.*

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferee Company is directed to be held on **13.11.2021 at 12:00 NOON** at the Registered office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

14. The quorum for the meeting of the Unsecured Creditors of the Transferor and Transferee Company shall be 30 and 20 respectively.

i) The Chairperson appointed for the above said meetings shall be **Mr. V. Nallasenapathy,** *(Mob. 98415 27190)* and the alternate chairperson appointed for the above said meeting shall be the Managing Director of the Company who has sworn in affidavit on behalf of the respective Applicant Companies. The fee of the Chairperson for the aforesaid meeting shall be ₹1,00,000/- (Rupees One Lakh Only)in addition to meeting his incidental expenses.

ii) **Mr. M. Damodaran, PCS** *(Mob. 98412 81693)* is appointed as a Scrutinizer and would be entitled to fee of ₹50,000/- (Rupees Fifty Thousand Only) for services in addition to meeting incidental expenses. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing quorum valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant

companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

v) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily *"Indian Express"* (All India Edition), and *"Dina Mani" Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vi) Voting shall be allowed on the proposed Scheme by voting in person. The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

vii) The companies shall individually send notice to concerned Regional Director, MCA, the Income Tax Authorities, Registrar of Companies Chennai, the Reserve Bank of India, Official Liquidator in respect of Transferor Companies, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

viii) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

ix) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

x) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

15. The Applications stand **allowed** on the aforesaid terms.

-sd-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-sd-
(R. SUCHARITHA)
MEMBER (JUDICIAL)

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